

CITATION: Proxema v. Birock 2018 ONSC 2553

DATE: 20180427

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

PROXEMA LIMITED

Plaintiff

– and –

BIROCK INVESTMENTS INC., 2182537
ONTARIO LTD., operating AS YORK
MEDICAL GROUP, 972579 ONTARIO
LTD., operating AS YORK MEDICAL,
YORK MEDICAL MOBILITY INC. and
DR. KEN LAI

Defendants

AND BETWEEN:

SELECT ALUMINUM LTD

Plaintiff

– and –

PROXEMA LIMITED, 2182537
ONTARIO LTD., operating as YORK
MEDICAL GROUP and BIROCK
INVESTMENTS INC.

Defendants

NEWMARKET COURT FILE NO.:

CV-10-100673-00

Arnold Zweig, for the Plaintiff

Mark Arnold, for the Defendants

NEWMARKET COURT FILE NO.:

CV-10-0100391-00

Arnold Zweig, for the Plaintiff

Arnold Zweig, for the Defendant Proxema
Limited

Mark Arnold for the Defendants 2182537
Ontario Ltd., operating as York Medical
Group and Birock Investments

AND BETWEEN:

SELYAN'S FLOORING INC.

Plaintiff

– and –

2182537 ONTARIO LTD., operating as
YORK MEDICAL HEALTH CENTRE and
PROXEMA LIMITED

Defendants

NEWMARKET COURT FILE NO.:
CV-10-0999923-00

Olga Morozova, for the Plaintiff

Mark Arnold, for the Defendant 2182537
Ontario Ltd., operating as York Medical
Health Centre

Arnold Zweig, for the Defendant Proxema
Limited

AND BETWEEN:

NET DRYWALL & ACOUSTICS LTD.

Plaintiff

– and –

BIROCK INVESTMENTS INC., 2182537
ONTARIO LTD., operating as YORK
MEDICAL GROUP and PROXEMA
LIMITED

Defendants

NEWMARKET COURT FILE NO.:
CV-10-100226-00

Arnold Zweig, for the Plaintiff

Mark Arnold, for the Defendants Birock
Investments Inc., 2182537 Ontario Ltd.,
operating as York Medical Group

Arnold Zweig, for the Defendant Proxema
Limited

AND BETWEEN:

1224387 ONTARIO LTD. c.o.b. as
EVERYTHING ELECTRIC

Plaintiff

– and –

BIROCK INVESTMENTS INC.,
PROXEMA LIMITED, 2182537
ONTARIO LTD. operating as YORK
MEDICAL HEALTH CENTRE

NEWMARKET COURT FILE NO.:
CV-10-411433

Arnold Zweig, for the Plaintiff

Mark Arnold, for the Defendants Birock
Investments Inc., 2182537 Ontario Ltd.,
operating as York Medical Health Centre

Arnold Zweig, for the Defendant Proxema
Limited

	Defendants	)	
AND BETWEEN:		)	NEWMARKET COURT FILE NO.:
		)	CV-10-099975-00
		)	
BELAIR PLUMBING & MECHANICAL LTD.		)	
		)	Arnold Zweig, for the Plaintiff
	Plaintiff	)	
– and –		)	
		)	
BIROCK INVESTMENTS INC., 2182537 ONTARIO LTD., operating as YORK MEDICAL GROUP and PROXEMA LIMITED		)	Mark Arnold , for the Defendants Birock Investments Inc., 2182537 Ontario Ltd., operating as York Medical Group
		)	
	Defendants	)	Arnold Zweig, for the Defendant Proxema Limited
		)	
		)	HEARD: November 20, 21, 22, 23, 24, 27, 28, 29, 30, December 1 5, 6, 7, 2017 in Oshawa, December 11, 2017 in Newmarket and March 27, 2018 in Barrie

REASONS FOR JUDGMENT

MCCARTHY J.:

INTRODUCTION TO THE ACTIONS

- [1] The court heard six lien claim actions arising out of a construction project (the “project”) at 17215 Leslie Street in Newmarket (the “premises”). The project spanned the period of approximately August 2009 until June 2010.
- [2] The premises were owned by the defendant Birock Investment Inc. (“Birock”). In 2008, Birock entered into a ten-year lease of the premises with the defendant 2182537 Ontario Ltd., operating as York Medical Group (“YMG”). YMG styled itself as the “head tenant” of the premises.
- [3] YMG—like the co-defendants 972579 Ontario Ltd, operating as York Medical (“York Medical”) and York Medical Mobility Inc. (“York Mobility”)—was owned and operated by the defendant Dr. Ken Lai (“Dr. Lai”).
- [4] Birock took no part in the trial of these actions, and is not included in any reference to the Defendants in the reasons below, which henceforth comprise only YMG, York Medical,

York Mobility and Dr. Lai (collectively, the “Defendants”). In addition to being a Plaintiff in its own right, Proxima Ltd (“Proxima”), is a named as a Defendant in the actions brought by the subtrades but did not challenge any of the subtrades’ evidence or the amounts owing to them. In order to avoid confusion on the point, Proxima will not be referred to as a defendant but merely as Proxima.

THE PROJECT

- [5] The project involved a build-out of an existing structure on the premises. Dr. Lai and YMG intended to establish a “one-stop shop” type of facility out of which a number of medical and related services would operate. As head tenant, YMG entered into agreements or understandings with other medical and related service providers (the “subtenants”) for them to sublease space within the built-out premises.
- [6] In August 2009, the Defendants engaged Proxima to provide the project with construction management services. The project was to be based principally on architectural drawings dated June 24, 2009, prepared by Suu-dda Patkar Architectural Corp. (“SPA Architects”)
- [7] Proxima prepared a series of “Bid Tender Proposals” (“bid tenders”) for the Defendants, one of which was dated August 24, 2009, and proposed a stipulated lump sum price of \$3,232,449. This was meant to encompass labour and materials for both the head tenant and some for some of the subtenant space.
- [8] The bid tenders were never formally accepted. The parties never executed any kind of stipulated price contract. Nevertheless, they entered into an arrangement for Proxima to proceed with the project. The parties agree that this contract (the “contract”) between Proxima and YMG carried with it the contract price of 2,526,157.00, plus GST of \$126,307.85, for a total of \$2,652,464.85. With some limited exceptions, Proxima was responsible for retaining and instructing the subtrades.

PROXIMA’S POSITION

- [9] Proxima claims that the Defendants continue to owe it the sum of \$897,548.37 for services and materials it provided to the project. This amount is arrived at as follows: \$619,964.85 owing on the original contract; plus unpaid “contract extras” in the amount of \$513,583.52 (“extras”); minus \$175,000 paid by the Defendants towards the statutory holdback under Ontario’s *Construction Lien Act*, R.S.O. 1990, c. C.30 (*CLA*); and, minus \$61,000 for conceded deficiency credits. Proxima claims that the Defendants have paid a total of \$2,032,500 on the contract.
- [10] The Defendants were legally obliged to withhold \$310,505 for the statutory holdback. This is arrived at by: taking the original GST-inclusive contract price (\$2,652,464.85); adding the extras’ value (\$513,583.52); subtracting \$61,000 worth of credits given by Proxima and applying the statutory ten percent. The Defendants paid \$175,000 of the holdback, leaving a holdback deficiency of \$135,505. Any claims or credits for alleged deficiencies or damages for delay are not properly deductible from the price of labour and materials supplied to the project for the purpose of calculating the holdback.
- [11] Proxima seeks judgment against all four of the named defendants on a joint and several basis. In the absence of a written contract containing the precise names of the contracting

parties, the court should, after looking at numerous factors and all of the circumstances, determine that all four of the Defendants can be considered contracting parties.

- [12] The Defendants' breach of trust argument is a red herring and entirely irrelevant to the issues that this court must decide.

THE CLAIMS OF THE SUBTRADES (SUBCONTRACTORS)

- [13] I have employed the term "subtrades" rather than the more legally accurate term "subcontractors" as it was the term most consistently employed in the documents, by the *viva voce* witnesses and by the parties themselves. For the purposes of these reasons, the terms "subcontractors" and "subtrades" are interchangeable. The respective claims of the subtrades are as follows:

- a. Selyan's Flooring Inc. ("Selyan's Flooring")—\$150,052.07;
- b. Select Aluminum—\$75,057.40;
- c. 1224387 Ontario Ltd., carrying on business as Everything Electric ("Everything Electric")—\$154,763.72;
- d. Belair Plumbing & Mechanical ("Belair Plumbing")—\$74,214.25;
- e. Net Drywall and Acoustics Ltd. ("Net Drywall")—\$147,464.

- [14] As subtrades, these Plaintiffs must seek judgment for their services and materials against Proxema, with whom they had a contractual relationship. Their claim against the Defendants is limited at law to claiming a pro-rated share of any holdback deficiency. With the exception of Selyan's Flooring, the subtrades were represented by counsel for Proxema.

THE DEFENDANTS' POSITION

- [15] The value of the base contract between Proxema and the YMG was \$2,652,464.85 inclusive of GST. YMG has paid \$2,032,500, plus the amount of \$175,000 toward holdback, for a total of \$2,207,500.
- [16] On a purely *quantum meruit* basis, Proxema is entitled to an additional \$89,124.25 for project extras.
- [17] In the Proxema action, the Defendants advance a counterclaim for \$954,546.19 comprised of the following: \$569,115.37 worth of deficiencies in the labour and material supplied to the project (the "deficiencies claim"); plus \$385,430.82 representing damages for loss of rental income caused by the project's delay (the "delay claim").
- [18] This counterclaim exceeds the amount left unpaid on the contract plus the additional *quantum meruit* conceded, resulting in Proxema now owing the Defendants \$420,457.09.
- [19] The Defendants defended each of the subtrades' claims and, with the exception of the Select Aluminum action, advanced counterclaims for either deficiencies, delay, or both. The delay aspect of those respective counterclaims was abandoned either before or at trial.
- [20] For holdback purposes, the contract's value—net of the deficiencies—is only \$2,232,007.76. Ten percent of that contract value results in a holdback amount of

\$223,200.78. Accordingly, the balance of the holdback owed to the subtrades is only \$48,200.78 (\$223,200.78 - \$175,000 [already paid] = \$48,200.78).

- [21] In any event, because of payments made by YMG during the project, Proxima should have had sufficient funds available to pay the subtrades. It breached its obligations as a trustee in that regard; the subtrades should therefore be looking to Proxima to recover the outstanding net holdback.
- [22] Any judgment obtained in favour of the Plaintiffs should not be against Dr. Lai personally. No contract existed between Proxima and Dr. Lai. At all times, Dr. Lai was the director/officer of the contracting corporate entity YMG; he did not act in his personal capacity. Dr. Lai expressly advised Proxima in an email dated August 31, 2009, that it was dealing with YMG—the corporation. This is not an appropriate case for piercing the corporate veil.

THE ISSUES

- [23] I have determined that the issues to decide in this action, as raised by the pleadings, are as follows:
- a. What is the value of the work Proxima performed under the contract?
 - b. What is the value of the extras?
 - c. What is the value of any deficiencies which should be deducted from the amount payable?
 - d. Are the Defendants entitled to any damages for delay?
 - e. What is the proper amount of the statutory holdback and the balance left owing to the subtrades?
 - f. Which of the Defendants should be liable to pay the amounts owing?
 - g. What is the proper amount of the claims of the respective subtrades and the value of the respective liens?

TRUST CLAIM

- [24] In closing submissions, the Defendants spent considerable time focusing on a trust claim against Proxima, Michael Grieco and John DiTomaso. The Defendants went so far as to quote extensively from findings made by my brother Charney J. in his reasons on a security for costs motion in this matter (see *Proxima Ltd. v. Birock Investments Inc.*, 2016 ONSC 5686, [2016] O.J. No. 4701).
- [25] I am unable to agree with the Defendants that an issue for my determination is why there is no trust claim by the subtrades against Proxima or its principals.
- [26] One, there is no trust claim by the subtrades against these entities. It was their claim to bring. The Defendants cannot stand as beneficiaries of a trust under the s. 8 of the *CLA*.
- [27] Two, the issue was never pleaded in the statement of defence and counterclaim and no amendment to the pleading was sought at trial.

- [28] Three, the issue is irrelevant to the question of what amount, if any, the Defendants owe Proxima for improvements to the project and what amount, if any, the Defendants were obliged to retain for the holdback. That issue is governed by Part IV of the *CLA*.
- [29] Four, I fail to see how any findings made on a security for costs motion would be relevant to the discrete issues I have to determine at trial.
- [30] Finally, I accept the evidence of John DiTomaso that no project monies went unaccounted for. As discussed in greater detail below, I found DiTomaso to be an excellent witness, an accurate historian, and entirely conversant with the documents before the court. I place great weight on his evidence. Accordingly, the issues for consideration by the court will be limited to the seven identified above.

STATUTORY FRAMEWORK

- [31] The *CLA* provisions which bear upon this case are the following:

Interpretation

Definitions

1 (1) In this Act,

...

“holdback” means the 10 per cent of the value of the services or materials supplied under a contract or subcontract required to be withheld from payment by Part IV;

...

“owner” means any person, including the Crown, having an interest in a premises at whose request and,

- (a) upon whose credit, or
- (b) on whose behalf, or
- (c) with whose privity or consent, or
- (d) for whose direct benefit,

an improvement is made to the premises but does not include a home buyer;

...

“premises” includes,

- (a) the improvement,
- (b) all materials supplied to the improvement, and
- (c) the land occupied by the improvement, or enjoyed therewith, or the land upon or in respect of which the improvement was done or made;

...

“subcontractor” means a person not contracting with or employed directly by the owner or an agent of the owner but who supplies services or materials to the improvement under an agreement with the contractor or under the contractor with another subcontractor;

...

Creation of lien

14 (1) A person who supplies services or materials to an improvement for an owner, contractor or subcontractor, has a lien upon the interest of the owner in the premises improved for the price of those services or materials.

...

Holdbacks

Basic holdback

22 (1) Each payer upon a contract or subcontract under which a lien may arise shall retain a holdback equal to 10 per cent of the price of the services or materials as they are actually supplied under the contract or subcontract until all liens that may be claimed against the holdback have expired or been satisfied, discharged or otherwise provided for under this Act.

...

Personal liability of owner

23 (1) Subject to subsections (2), (3) and (4), an owner is personally liable for holdbacks that the owner is required to retain under this Part to those lien claimants who have valid liens against the owner’s interest in the premises.

...

Payments that may be made

24 (1) A payer may, without jeopardy, make payments on a contract or subcontract up to 90 per cent of the price of the services or materials that have been supplied under that contract or subcontract unless, prior to making payment, the payer has received written notice of a lien..

Idem

(2) Where a payer has received written notice of a lien and has retained, in addition to the holdbacks required by this Part, an amount sufficient to satisfy the lien, the payer may, without jeopardy, make payment on a contract or subcontract up to 90 per cent of the price of the services or materials that have been supplied under that contract or subcontract, less the amount retained.

THE EVIDENCE

[32] I will refer to the documentary evidence in conjunction with my discussion of the *viva voce* evidence. Where I find it probative of an issue, I will refer to the documentary evidence on its own, even if the witnesses did not elaborate on it.

(a) John DiTomaso

- [33] DiTomaso was Proxima's construction project manager. He described his role as the "guy who gets the job done". He provided the court with a narrative of the project's history with reference to certain pertinent documents.
- [34] I accept DiTomaso's evidence almost without exception. He was entirely credible. Although he did not have his journals available, I found his recall of events from eight years ago to be excellent; he was thorough and comprehensive, focused and measured. He was entirely conversant with construction practices and terminology. He provided the court with helpful insight into the project documentation. I afford his evidence significant weight.
- [35] Proxima's final bid tender (including proposed work for some of YMG's subtenants) was for \$3,232,449. The proposed period for completion was 22 weeks. Remarkably, the project went ahead without a written contract. Although Dr. Lai offered some incentives for "early completion", no final date was ever agreed upon. Dr. Lai preferred that the cost of the project be pro-rated to the various subtenants' spaces.
- [36] Proxima's involvement in the project commenced in late August of 2009. Invoices for progress draws were made out to YMG. Almost from its inception, unanticipated delays occurred on the project, many related to Dr. Lai's or his representatives' failures to decide on millwork, design, and layout changes.
- [37] While there was no fixed construction schedule, several emails to Dr. Lai throughout October and November 2009 attest to DiTomaso's ongoing concerns with delays and timely completion of various aspects of the project.
- [38] Unfortunately, the Defendants failed to advance progress draws in a timely manner, often leaving the subtrades unpaid. On November 11, 2009, Everything Electric walked off the job for non-payment. This caused further delays. On November 24, 2009, Proxima received radically revised drawings from the Defendants' design representative, Wendy Wang of Dialogue 38. The revisions required wall demolitions, more elaborate and detailed work, and both electrical and mechanical alterations. All of this took additional time.
- [39] In an email exchange between Dr. Lai and Proxima dated December 6, 2009, the project's total cost was agreed to at \$2,526,157 plus GST, payable within 60 days of substantial completion. This included the work Proxima was undertaking for one of the subtenants, Orthotics Chiropody Southlake ("OCS"). Dr. Lai unilaterally inserted additional requirements before that payment would be made: an occupancy permit; a WSIB clearance certificate; and proof of full payment from Proxima to allow YMG to access a tenant's allowance from Birock.
- [40] Again in January 2010, Proxima found itself awaiting receipt of design instructions and changes from Dr. Lai and his representatives.
- [41] On January 21, 2010, Karl Nitsch, a professional engineer, conducted a site visit under the general requirements of Ontario's *Building Code*, O. Reg. 332/12 (*OBC*). Except for minor and "insignificant" changes due to site conditions, the installation was essentially complete

in the pharmacy, dental, orthotics, OCS, and Canadian Medical Laboratories Healthcare's (CML) spaces. Nitsch was prepared to accept partial occupancy of those areas.

- [42] It was not until February 18, 2010, that Dr. Lai first raised any real concerns about the progress on the project. He began asking Proxima questions about when completed space could be delivered. At the same time, Proxima conveyed its concerns to Dr. Lai about payment of progress draw #4 and a portion of the holdback. Delays in payment of progress draws had resulted in the reluctance of some of the subtrades to return to the project. At this time, neither Dr. Lai nor any of his representatives had complained of or noted any deficiencies. On March 2, 2010, Proxima was still fielding requests for changes to the flooring in some of the subtrade areas. As late as March 23, 2010, Dr. Lai's spouse Heather was still deciding on countertops.
- [43] DiTomaso denied that there was ever a \$2,000,000 "cap" on the project, as suggested by Dr. Lai in his March 11, 2010 email; and, contrary to Dr. Lai's assertion, Proxima did not receive a \$50,000 cheque from him at that time. The deficiencies identified by Central York Fire Services ("CYFS") on March 18, 2010 were very minor and were substantially addressed in the days which followed. CYFS identified some remaining fire safety issues in its report dated April 6, 2010. On April 8, 2010, however, Nitsch returned to the premises and issued a report confirming that the sprinkler system was being installed and modified in accordance with the applicable codes.
- [44] Beginning on April 15, 2010, Dr. Lai's emails became adversarial and hostile. He insisted that occupancy was promised to him in December 2009, and that an occupancy permit was expected in February and again in March 2010. DiTomaso denied that any such occupancy permit or completion had been promised for those dates. DiTomaso estimated that Dr. Lai's "incomplete list" of deficiencies dated April 19, 2010 (the "deficiencies list")—assuming they were legitimate—could have been addressed at a cost of between \$1,000 and \$1,500.
- [45] On April 22, 2010, LKM Professional Engineers ("LKM") carried out a general review of the mechanical installations, including the HVAC system, plumbing and drainage, and fire extinguishers. LKM arrived at the following conclusion:
- Based on the extent of site visits provided by contract, and the extent of the work seen during these visits, we find the construction is substantially complete and in general conformity with the plans, sketches, drawings, graphic representations, specifications and requirements of the Ontario *Building Code*.
- [46] When CYFS returned to the site on May 3, 2010, it noted that many of the previous violations had been repaired. DiTomaso confirmed that any remaining identified deficiencies were eventually rectified.
- [47] On May 4, 2010, Proxima received Dr. Lai's deficiencies list. It included items like painting, plates, and door handles. DiTomaso estimated that rectifying these items would have cost \$1,500. That same day, professional engineers Hammerschlag & Joffe ("H&J") reported to the project architect as follows:

Based on our observations at periodic field reviews during construction, we advise that the electrical installation has been substantially completed in general

conformance with the electrical drawing and specifications as approved for building permit and the requirements of the *OBC*, subject to completion of deficiencies outlined in our field review of April 30, 2010.

- [48] On June 1, 2010, Proxima delivered a demand for payment of \$1,210,256.80 comprised of the following: the remaining balance on the project's medical area (\$619,964.85); the improvements on the dental area as of March 25, 2010 (\$83,431.95); the pharmacy tenant's shortfall (\$18,610) and what was termed "unresolved project extras" (\$488,250). The dental area improvements consisted of sanitary and sewer work, waterlines, HVAC and sprinkler systems. The pharmacy tenant's shortfall was an amount that Dr. Lai had agreed to cover.
- [49] Proxima followed up with a further demand on June 28, 2010. This request included a breakdown of the extras, an inquiry into the Defendants' intentions in respect of payment together with notice that a failure to reply would result in liens being registered on the project.
- [50] Throughout June 2010, Proxima remained on site, providing services to the subtenant CML, for which—and from whom—it was paid directly.
- [51] DiTomaso characterized YMG's claim for "credits" for deficiencies totalling \$900,000 set out in Dr. Lai's letter of July 5, 2010 as "a joke". Prior to this date, Dr. Lai had never mentioned the drywall height deficiency or the commercial kitchen. The latter item did not form part of the contract in any event.
- [52] DiTomaso suggested that the Defendants should be afforded nothing beyond a \$61,443 credit for unresolved deficiencies and incomplete work.
- [53] DiTomaso's evidence will be referred to again under the headings of "The Extras Claim", "The Deficiencies Claim", and "The Delay Claim".

(b) SPA Architect's reports

- [54] On May 12, 2010, SPA Architects issued the last of 16 reports on the project. The last report, entitled "Substantial Completion Report" declared the project and subsequent revisions to be "substantially complete".
- [55] The author of that report did not testify; I place great weight on his conclusion nonetheless. First, the substantial completion report was contemporaneous with Proxima's last weeks on the project; second, that report was prepared prior to the liens going on the property and prior to the breakdown of the relationship between Proxima and the Defendants; third, the declaration was offered by Dr. Lai's own project architect; fourth, the declaration of substantial completion was generally consistent with the conclusions offered by the professional engineers—Nitsch, LKM, and H&J—on related aspects of the project; finally, SPA Architect's conclusion is supported by the evidence offered by DiTomaso and the subtrades.

(c) Larry Taylor

- [56] Larry Taylor was a good witness. He performed maintenance work for the Defendants at \$21 hourly, from approximately June 18, 2010, to June 17, 2011. Taylor confirmed that

nobody other than himself performed maintenance at the premises during his time there. Taylor received a net pay of \$15,857.29 during his employment stint.

- [57] Taylor's tasks included: tracing electrical wiring and plugs; servicing exhaust fans; painting the boardrooms, halls and examining rooms; and patching and gluing of the wood laminate flooring. The flooring work might have taken ten hours of his time; it did not require replacement.
- [58] Taylor installed a number of sinks. He traced some taps into the kitchen area. He installed two hollow metal doors supplied by All Can Doors & Hardware ("AC Doors"). He carried out some air balancing to equalize temperature. This required the outlay of \$1,200 plus HST. Dr. Lai instructed Taylor to install a new door when a pain clinic room was converted into an emergency room.
- [59] I attach great weight to Taylor's balanced and sensible evidence. It tends to support a finding that the Defendants carried out only a modicum of "deficiency work". Also, I accept DiTomaso's evidence that it would have been normal practice to hire a person for general maintenance for a project of this size.
- [60] While it is apparent that Taylor was paid wages of nearly \$30,000 during his employment with YMG, I find this is a minor discrepancy in his evidence that does not detract from the reliability of his overall testimony. Taylor made it clear that none of the work he did for the Defendants was remedial or corrective in nature. At \$21 hourly, I find he was not being paid as a specialized tradesperson; rather, he offered the type of maintenance and fix-up services one would expect to see in any large commercial building.
- [61] The Defendants failed to produce any meaningful documentation supporting their contention that Taylor performed "deficiency work". This is concerning because during the time that Taylor was on-site, the dispute between Proxima and the Defendants was ongoing. Dr. Lai must have appreciated that he would require documentation to support his claim for credits and back charges for deficient work and the cost of remedying same; yet, no such supporting documentation was provided, not even a journal describing or tracking work performed on the project's alleged deficiencies.
- [62] I am led to the conclusion that none of Taylor's work was intended or served to correct any project deficiencies. The evidence supports the conclusion that Taylor was hired as a maintenance man who performed maintenance work and was paid accordingly.

(d) Yoram Moran – the "Tender" of May 11, 2011

- [63] In stark contrast to Taylor, Yoram Moran was a deplorable witness: he was hostile and combative; he interjected during questioning; he demonstrated a hearty disrespect when legitimately challenged and looked perturbed when the court asked him questions; he had a selective memory; he was vague and evasive on controversial points. The fact that he put together a purported "tender" quotation for remedying the project's alleged deficiencies on Bel-Tano Construction letterhead (an entity he neither owned any interest nor had any standing in) was not explained to the court's satisfaction.
- [64] Moran's tender was—to say the least—an unreliable, unimpressive, and wholly unpersuasive shred of paper. I do not accept that Moran used Bel-Tano letterhead to provide an unsigned quotation for a \$750,000 project because he and the owner "Louis"

often worked together. Moran's name appears nowhere on the three-page quotation. He did not sign it. Nor, of course, did the mysterious "Louis" who the court did not hear from and whose name appears nowhere on any documentation. Moran's explanation for why he does not habitually sign estimates or quotations was not compelling; if he truly does business on a handshake, what need is there to prepare a quotation? And why employ another company's letterhead for such a purpose?

- [65] Moran did not back up his tender with any field notes, plans, diagrams, material and labour breakdowns, or something as simple and potentially compelling as photographs. The document's "Item 8"—which purports to be an estimate "to rectify deficiencies throughout the [P]roject"—is particularly obtuse since it neither itemizes the alleged deficiencies nor breaks down the rather blithely inserted \$150,000 figure.
- [66] The substance of Moran's tender quotation was, in any event, almost completely undermined by the Defendants' expert Brian Shedden, whose own estimates for rectifying the alleged deficiencies were substantially lower. By the time Dr. Lai took the witness stand on the Defendants' behalf, he was obliged to admit that Moran's estimates were completely inconsistent with his own expert's values. I find that the Moran tender quotation was not a reliable tender proposal from a legitimate contractor/building manager. I find that it was not probative of the issue of any project deficiencies left by Proxima and/or the subtrades; and it cannot assist the court in ascribing a realistic value to any of those alleged deficiencies.
- [67] I have no hesitation in dismissing Moran's evidence as completely unreliable and unhelpful to the court.

(e) Brian Shedden

- [68] I was unimpressed both by Shedden's testimony and by the findings and opinions contained in his report of December 15, 2011 ("the Shedden report"). I am not prepared to give his opinions any weight. He attended the premises some 18 months after Proxima had left the project. That fact alone caused me grave concern; the identification of alleged construction deficiencies in commercial premises which have been open to the public for over a year and a half can only be of limited value. I am also highly suspicious as to why Dr Lai would choose to wait such a length of time before retaining a construction expert, when he was clearly informed and aware of the alleged deficiencies and would have understood that litigation was looming.
- [69] Shedden's report was difficult to read; he interspersed figures representing his deficiency findings with the deficiencies found by the inspecting trades. Evidently, Shedden did not possess all the documentation relevant to the issues he was opining on: for example, he did not have the series of emails from Dr. Lai directing Proxima to abide by the Defendants' representatives' instructions. Shedden was not familiar with the documentation supporting the extras claim for additional drains, the slop sink and repainting.
- [70] At times, Shedden's testimony bordered on ludicrous: for example, he would not admit that, in the absence of documentation, or where that documentation left him uncertain whether the extra work had been done, it would have been prudent to discuss the matter with Dr. Lai, Proxima, or the subtrades. His explanation that people involved in the project

had long since departed when he inspected for extras and that his mandate was, in any event, limited to considering the documents, was thin and unconvincing. I find it impossible that he could not have, with a minimum of effort, located the slop sink. At the very least, he could have inquired about its existence from staff or Dr. Lai; failing that, he could have ascertained its whereabouts from Proxima. Instead, he chose to proceed as if it did not exist.

- [71] Shedden reluctantly admitted that to give an unbiased, independent report, an expert should obtain input from the contractor before arriving at a determination about whether a claimed item qualified as a legitimate extra. Inexplicably, Shedden referred to SPA's Substantial Completion Report, but neither he nor Dr. Lai could produce it.
- [72] The Shedden report contained no independent analysis in support of his findings; he employed no scientific methodology to arrive at his conclusions. He simply borrowed the estimate for the correction to the partition walls from the unreliable Moran, whose estimate was not based upon measurements, calculations or diagrams.
- [73] Shedden failed to break down or explain his \$10,000 estimate for repairs to the flooring. He could not specify what area of the project he assessed or was referring to. He failed to address how the floors were maintained or how normal daily use and structural changes post-dating the work of the subtrade might have impacted upon, or compromised the integrity of, the flooring that he inspected.
- [74] The Shedden report concluded that there were no extras to the contract. That position changed on the witness stand after Shedden was confronted with documents supporting that claim. Shedden was apparently seeing some of those documents for the first time. In my view, this not only undermined his original opinion but also damaged his credibility; clearly he embarked on his investigation with a starting premise that no extras should be allowed. This is not a compelling or persuasive approach to take for an expert presenting himself to the court as neutral and objective. Almost glibly, he admitted that such an approach was not the proper way to present an expert report in court. I could hardly agree more on that point. I find that Shedden failed in his duty as an expert to be balanced, unbiased, and fair in offering his opinion.
- [75] I reject nearly all Shedden's testimony and find it cannot be used to support the positions advanced by the Defendants on either deficiencies or extras.

(f) Dr. Ken Lai

- [76] Dr. Lai gave evidence on behalf of the corporate Defendants and in his personal capacity. While he presented as an affable, polite, and cooperative man anxious to portray himself to the court as slightly naïve in construction matters, I detected behind that veneer a shrewd individual who was knowledgeable, experienced, and cautious in business dealings.
- [77] This revealed itself in the careful way he answered questions in direct examination and in his ascribing of ulterior meaning to plain words set out in email exchanges from eight years ago. With the greatest respect owed to him as a medical doctor, he made for a very poor and unreliable witness.

[78] There were many problems with both the substance of his evidence and how he presented it. The following examples in particular served to undermine his credibility and left the court with little inclination to attach any weight to the greater part of his testimony:

- Dr. Lai produced not one of the 16 SPA Architect reports. This was his chosen project architect. We know that SPA Architects reported that the project was “substantially complete” by May 12, 2010. Remarkably, Dr. Lai sought to disagree with the conclusion of his own architect on the substantial completion issue. I find he did this realizing that a finding that the project was substantially complete by May 12, 2010, would be unhelpful to his case;
- Dr. Lai stubbornly resisted acknowledging the most basic facts: for example, he refused to accept that he negotiated a \$30,000 credit from Everything Electric for alleged electrical work deficiencies but expended only \$23,000 to correct those same deficiencies, leaving him a \$7,000 windfall. A far less sophisticated person than Dr. Lai would have appreciated the discrepancy; Dr. Lai chose not to acknowledge it;
- Dr. Lai was selective in document production. In presenting his claim for electrical work deficiencies, he failed to attach the accompanying invoices to the Everything Electric payments. I find that he did so knowing that the described goods and services on these invoices would not support his position that they were intended to address deficiencies. This was confirmed when Dr. Lai was confronted with an invoice for an \$8,400 payment for “deposit for additional light fixture order.” When Dr. Lai realized he was caught in an untenable position, he could only muster “I do not recall this”, “I might have...it was seven years ago”, and “it is possible it was not for Proxema work”. This was entirely unconvincing. Nor did he recognize the invoice for Mitsubishi hand-dryers that were not included in the original plans and were clearly extras to the contract.

One of Everything Electric’s invoices clearly references “billing for extras”; yet, conveniently, Dr. Lai cannot remember ever seeing the invoice in question. He was uncertain about what work the invoices described even though the details were spelled out clearly. When asked why he would not have referred to the invoices during examination in chief, he offered to the court the quite startling revelation that he was not aware that the Defendants had these invoices.

- Dr. Lai suggested that Proxema should be permitted an extra 16-day period outside the 22-week window for completion of the project if the delays experienced were his fault. I find this to be a contrived position, undoubtedly concocted to prop up the absurd notion that there was some fixed construction schedule upon which he was relying. Dr. Lai was simply unable to identify or provide detail of any construction schedule or any agreement reduced to writing which either party was relying upon or holding the other party to, either before or after that 22 week period.
- Dr. Lai was cagey and evasive when he refused to admit that the purpose of the project walk-through with Belair Plumbing’s Sam De Cristoforo was to identify and address deficiencies. I find Dr. Lai did this upon recognizing that, by acknowledging

such a purpose, he would have to admit that no deficiencies were identified at that time.

- Dr. Lai's default response on several extras was that he had "no knowledge". Frankly, this is impossible; he must have knowledge about every claimed extra. Whether the extra was discussed, approved, justified, overcharged, deficient, or simply not provided are all options, but "no knowledge" is not one he can offer the court.

Proxima made known the extras it was claiming in its extras claim shortly after it left the site. These extras were not concealed from view, impossible to assess, and their value was not left undocumented; nor were they sprung on Dr. Lai at trial. The extras have been a feature of the litigation from the outset. As YMG's principal, a litigant in his own right, familiar with all the work—extras, or otherwise—provided to the project, he must have had some knowledge of the subject matter. At the very least, it was incumbent upon him to acquire some knowledge of the extras so as to provide the court with his acceptance or rejection of the claimed extra in whole or in part. For Dr. Lai to hide behind "no knowledge" is unacceptable. I can only conclude that when Dr. Lai answers "no knowledge", he really means "no contest".

- In partial support of his \$385,430.82 delay claim, Dr. Lai proffered a sublease between the head tenant YMG and York Medical (both of which are his companies) made July 12, 2011. This date is more than one year after Proxima left the premises and well after the litigation commenced. There was no written sublease prior to this date. Dr. Lai could not produce the "offer to sublease" dated October 12, 2009. I find that this sublease, executed by non-arm's length entities many months after the alleged loss which it purports to undergird, must be afforded no weight. Dr. Lai's explanation, desperately offered in re-examination that committing the sub-lease to writing in July 2011 was "just to formalize it", was entirely unworthy of belief. The problems with this component of the delay claim did not end there: the sublease in question called for monthly rent of \$10,438; however, the "expected rental income by month" column in Exhibit 30 (Dr. Lai's claim for loss of rental income) contained a monthly rental loss as high as \$23,589.88 for this dubious sublease. This glaring discrepancy was left completely unexplained to the court's satisfaction. This aspect of the delay claim was further undermined when Dr. Lai rather blithely conceded that York Medical moved in and was doing business on or about the first week of April 2010. That being the case, how could there have been any loss of rent to the head tenant YMG from that month on? No answer was given.
- When confronted with evidence (contained in Shedden report) that a certificate of substantial performance had been issued for the CML space on June 9, 2010, Dr. Lai was not in a position to contradict this. Instead, he rather obliquely offered that he could not recall the "specific reason" why CML could not move in at or around that date. He had no information about the occupancy permit (which was concerning in itself). Nevertheless, a seven-month claim for loss of rent from CML formed part of his delay claim.

- Dr. Lai claimed not to have known about the sprinkler system deficiencies during the June 2011 walk-through with De Cristoforo of Belair Plumbing. When it was pointed out to Dr. Lai that the sprinkler modification estimates —provided by Viking Fire Protection (“Viking”)—were dated February and April 2011, he appeared mystified and offered simply “I was wrong”. Wrong he certainly was, but this does not begin to explain why he would not have brought these allegedly identified deficiencies to the attention of Belair Plumbing during the walk-through.

To extricate himself from this difficult predicament, Dr. Lai baselessly suggested that he did not believe Belair Plumbing would come in to remedy the deficiencies. This rather begs the question of what the purpose would be of a walk-through with a subtrade making a lien claim; it also ignores the fact that Belair Plumbing, apparently without prompting, returned to the premises to correct certain identified items.

- Hi-Tech Plumbing’s (“Hi-Tech”) was on site providing services to the Defendants prior to the commencement of the Proxima project; yet, Dr. Lai never claimed a credit or a reduction on Proxima’s tender bid. The obvious time to do so would have been in his email dated August 31, 2009, when the plumber then on-site was specifically mentioned and while the Proxima tender bid was current but as yet unexecuted. Dr. Lai was unable to specify when it was that he first claimed the Hi-Tech work as a credit. I find that, in advancing the services rendered by Hi-Tech in August/September 2009 as a credit many months later, Dr. Lai was simply grasping at any device or means of reducing the Defendants’ liability on the project. I find that claiming the Hi-Tech charges as a project credit was an afterthought, a pure litigation tactic, designed only to artificially reduce the Defendants’ exposure to Proxima’s claim.
- As part of his delay claim, Dr. Lai seems to have borrowed the notion of a 16-day time extension allowance for the project from Proxima’s email dated November 12, 2009. Yet, that email speaks of 16 days lost to date. In fact, the project experienced many further delays after that date. Dr. Lai maintained neither a construction schedule nor any notes about whether Proxima or YMG and its design team caused these unexpected project delays. Indeed, in an email dated December 15, 2009, Dr. Lai asked Proxima “[a]re you able at this time to provide me with a completion date or a construction schedule?” This is hardly a question one would expect from a contracting party seeking adherence with an existing construction schedule or with a fixed completion date. Even when Dr. Lai began pressing Proxima to move the project along on February 18, 2010, he merely inquired about a fixed date and the prospect of a move-in date by month’s end. That request was reiterated on March 1, 2010. Even as late as March 11, 2010, Dr. Lai was not suggesting that the project had run beyond its completion date.
- Dr. Lai did not disagree with the content of Nitsch’s letter dated January 21, 2010, confirming that the sprinkler system was essentially complete. Inexplicably, he maintained his position that the system constituted a deficiency; this, despite a failure to produce any details or drawings for the sprinkler modifications performed by Viking in 2011.

- In cross-examination, Dr. Lai abandoned the Bel-Tano Construction/Moran tender estimate for deficiency rectification in favour of adopting Shedden's much more modest deficiency cost estimate. As the significance of what he had just conceded dawned on him (i.e. an abandonment of the higher Bel-Tano numbers), Dr. Lai tried to recant and withdraw from the position he had adopted mere seconds earlier.
- Dr. Lai was wily enough to realize that his delay claim was in serious jeopardy during cross-examination. He took remarkable steps to maintain its integrity, refusing at one point to accept that his spouse Heather would have needed to decide on which countertop she preferred before the York Medical area could be up and running.
- When faced with the proposition that Proxima conceded a \$15,000 credit to him for the drywall height deficiency, Dr. Lai seemed confused and surprised. He said he was unaware of this. He remained completely uncertain of what it would take to correct the problem; he had, in any event, done nothing to correct the deficiency when it clearly lay within his power to do so. He claimed to be unaware of the estimate obtained by Net Drywall that it would cost only \$15,870 to add an extra foot to the partition walls.
- Dr. Lai offered an unconvincing explanation for why he did not seek the \$600,000 tenant allowance for improvements from Birock upon SPA Architect's confirmation that the project was 97% complete on May 12, 2010. At that time, there were no liens on the property and partial occupancy was a reality.
- Dr. Lai could not justify claiming a back charge for Taylor's work at the emergency entrance in August 2010. He accepted that this was outside the scope of the Proxima contract. While Dr. Lai understood that such back charges formed part of his defence and counterclaim, he conceded rather meekly that he had not conducted an "analysis" about what aspects of Taylor's work should have been properly back charged.
- Dr. Lai neglected to take photographs of the alleged deficiencies set out on his "lists" of May 4, 2010 and July 5, 2010. In this day and age, when snapping photographs with a cell phone is as simple as the press of a button, this omission on the part of Dr. Lai is nothing short of baffling. I can only infer that he declined to do so because contemporaneous photographs would not have supported his allegations of deficiencies; instead, they might have served as a permanent record to undermine the position he was formulating.

[79] I am not prepared to afford the evidence of Dr. Lai any weight. He was often inconsistent to the point of embarrassing. His memory was selective. He failed to produce and allude to documents which may have had the effect of harming his case. It was obvious during both direct and cross-examination, that he was prepared to deceive and mislead. With limited exceptions, where his evidence conflicted with other witnesses, I accept the other witness's evidence.

(g) Michael Grieco

[80] Proxima's former principal, Michael Grieco, offered the court nothing of any value. He had little to no recall of the project. He added nothing to the content of emails and other documents. He does not appear to have been on-site at any material time. His role appears

to have been limited to office, financial, and administrative matters. It was clear that DiTomaso was Proxema's lead man on the project.

- [81] The Defendants' counsel challenged Grieco on the integrity of the accounts and third party payments; however, I have already determined that the breach of trust issue—not raised in the pleadings or by the subtrades—is not an issue for this trial and can be of no assistance in my consideration of the other matters left to determine. Accordingly, while I do not necessarily accept Grieco's evidence as reliable, it contained no probative value.

(h) The Subtrades

- [82] Five separate subtrades brought actions for amounts remaining owed to them for labour and materials supplied to the project and for their respective pro-rated shares of the holdback.
- [83] The court received evidence from each principal of the claiming subtrades. The bulk of that evidence was contained in their respective will-say statements. They appeared in court to confirm the content of those respective statements and to allow for any cross-examination. Although Proxema defended each action brought by the subtrades, it did not challenge the evidence advanced in support of the respective subtrade claims. That evidence was uniformly supportive of the position advanced by Proxema on the extras issue.
- [84] Without exception, I accept the subtrades' evidence as reliable and entirely supportive of the respective claims advanced. Nothing of value came out of the cross-examination conducted by the Defendants' counsel.

1. *Selyan's Flooring (Jack Bedrossian)*

- [85] Selyan's Flooring ("Selyan") advances a claim for \$150,052.07, the amount left outstanding after it received a pro-rated share of the \$175,000 in holdback monies paid by the Defendants. Selyan provided flooring materials and labour to the project between January 21 and May 14, 2010, invoicing the amount of \$287,353.50 inclusive of taxes.
- [86] Selyan dealt directly with Proxema, proceeding to supply the labour and materials set out in a purchase order dated January 21, 2010. Changes to the subcontract were requested and approved by Proxema. Both Jack Bedrossian—owner and operator of Selyan—and DiTomaso confirmed that the flooring was done in a good and workmanlike manner and was free of deficiencies. Selyan did not install the flooring in the York Dental space.
- [87] I accept Bedrossian's evidence; it was straightforward, consistent, and compelling. The flooring product was a 3-to-3.2-millimetres-thick Armstrong Resilient Sheet Flooring which carried with it a five-year warranty plus Selyan's own one-year generic warranty. Bedrossian made sure to walk-through the entire project before the clinic's grand opening in the spring of 2010. He was satisfied that there were no deficiencies.
- [88] When Bedrossian returned for a walk-through in October 2010, he did not detect any deficiencies. He noted that certain walls had been removed. He noted with concern that cleaning was being done with a mop only. At no time was Selyan asked to repair any deficient work. Bedrossian defended his position that there were no deficiencies in the flooring; he refused to accept even the modest \$10,000 estimate for repair suggested by Shedden.

- [89] Dr. Lai has done nothing to repair or replace the allegedly deficient flooring. A warranty claim was never made. I can only conclude that the flooring has served its purpose and has been more than sufficient for a busy commercial facility for seven or more years. Dr. Lai was unable to provide any details of how the flooring had been maintained over the years, simply falling back on a suggestion—without any supporting documentation—that professional cleaners were used.
- [90] For reasons previously given, I reject the evidence of both Shedden and Moran. I place no weight on Moran’s tender estimate: it is unsigned; it sets out no square footage, no labour/materials breakdown and mentions nowhere the type or quality of flooring to be used. Meanwhile, Shedden testified that \$10,000 was sufficient to address the flooring deficiencies. The two contrasting positions offered by the Defendants’ are not just irreconcilable, but frankly embarrassing.
- [91] I am not prepared to deduct any amount for alleged deficiencies in the flooring. I find that the flooring work was performed in a good and workmanlike fashion; I reject the suggestion that deficiencies in either the product or its installation should justify a credit or a reduction in the outstanding claim for Selyan’s labour and materials. The value of the labour and materials supplied for flooring was as invoiced. Selyan’s claim of **\$152,057.07** is allowed in its entirety.

2. *Select Aluminum (Pasqualino Torchetti)*

- [92] Proxema retained Select Aluminum (“Select”) to supply and install aluminum windows and frames, sliding glass doors, aluminum chair rails, doors, and associated materials to the project. Select’s last day on the project was May 10, 2010.
- [93] Over that period, Select invoiced amounts totalling \$149,711.10, inclusive of GST, which included extras for security locks and Hunter automated sliding doors described below. After receiving payments from Proxema totalling \$62,327, a pro-rated share of the payment made towards holdback, together with a small amount from subtenant CML, Select remains owed the sum of \$75,057.40 for the services and materials it provided to the project. Torchetti simply confirmed that his work was done properly; he was aware of no deficiencies. His evidence was consistent, complete, reliable, and unchallenged. I am satisfied that the value of the labour and materials was as invoiced.
- [94] Select’s claim of **\$75,057.40** is allowed in its entirety.

3. *Belair Plumbing (Sam De Cristoforo)*

- [95] Belair Plumbing presents a claim for \$74,214.25.
- [96] Belair Plumbing provided a quotation to Proxema for mechanical and plumbing work in accordance with the project drawings. Proxema signed two purchase orders dated September 15, 2009, for a total amount of \$256,830. Belair Plumbing proceeded to provide labours and materials for rough in plumbing, fixtures, and the sprinkler system.
- [97] On October 9, 2009, the building inspector found the water services pipe, drainage, and venting systems to be satisfactory.

- [98] De Cristoforo attended a site meeting on March 3, 2010. Nothing significant about any deficiencies in Belair Plumbing's work was brought to his attention. Belair Plumbing received its last payment for work done on March 15, 2010. On March 30, 2010, De Cristoforo confirmed that the above-ground sprinkler system was functioning satisfactorily.
- [99] Throughout the project, Belair Plumbing was authorized to perform extra work additional to its base subcontract. This consisted of installing additional basins, upgrading some of the fixtures, and removing and reinstalling piping in response to changes made to the project drawings.
- [100] Belair Plumbing's last day on-site was May 3, 2010. At that time, the sprinkler system was fully operational. Belair Plumbing remained partially unpaid and was obliged to register a lien claim for \$91,493.64.
- [101] It was not until October 1, 2010, that De Cristoforo received the Defendants' deficiencies list. He participated in a walk-through at the site in May 2011, when he acknowledged some possible minor deficiencies. He produced his own repair estimate for these minor items of \$5,573. De Cristoforo returned to the site on July 18, 2011, and performed all of the repair work, which he detailed in a memo to his lawyer dated September 6, 2011.
- [102] De Cristoforo did not accept the "Shedden report" dated December 2011, which suggested that the missing and incomplete plumbing work at the site added up to \$39,750.47. De Cristoforo was never provided a specific list of missing or incomplete items. He was never notified of any deficiencies in his work beyond what he found in the walk-throughs. He was not afforded any further opportunity to correct the alleged remaining deficiencies.
- [103] Aside from a small payment from CML and its pro-rated share of the payment made towards holdback, Belair Plumbing received no further payment for the work it performed.
- [104] I found De Cristoforo's testimony entirely reliable and persuasive. It fully supports the position that **\$74,214.25** remains due and owing for plumbing and related improvements to the project. Belair Plumbing is entitled to recover that amount in its entirety.

4. Net Drywall (Jozsef Bokor)

- [105] Jozsef Bokor of Net Drywall provided Proxima a quotation to provide drywall work for the project's interior space. On September 15, 2009, Proxima returned an executed purchase order to Net Drywall, instructing it to proceed with the scope of the quoted work in return for payment of \$399,678 plus GST.
- [106] In addition to the work detailed in the purchase order, Net Drywall provided the project with extra labour and materials, much of which is detailed in the quotations issued throughout November 2009.
- [107] On May 19, 2010, Net Drywall issued an invoice for \$69,738.17 plus GST. That invoice detailed all of the extras to the original work order. The remaining total owed to Net Drywall for its work on the project was \$251,391.73.
- [108] After receiving notice of some deficiencies from Dr. Lai, Bokor re-attended the site to replace a few missing ceiling tiles and to raise the height of the walls by one foot.

Responding to further complaints from Dr. Lai, Bokor proceeded to increase the height of the partition walls to nine feet and six inches (9'6").

- [109] When Bokor received Shedden's expert report suggesting that it would cost a further \$107,000 to extend the walls to a height of ten feet and six inches (10'6") and to soundproof the examination rooms, Bokor sought his own expert opinion. Rob Reynolds of Evaluate Canada concluded that adding another foot to the partition walls would cost only \$15,870. This alteration would not, in any event, make any difference to soundproofing.
- [110] Bokor adopted these calculations in his will-say statement. After taking into account the payments received by the subtenant CML for work done in its space, and the amount received for its pro-rated share of the holdback, the amount left owing to Net Drywall is \$147,464.
- [111] Net Drywall did not get paid on a timely basis throughout the project. DiTomaso advised Bokor that Proxima was having difficulty getting draws out of Dr. Lai.
- [112] The evidence presented by the entirely credible Bokor is consistent with other evidence I accept and satisfies me that the Net Drywall is owed **\$147,464.00** on account of labour, drywall and related services and materials which it provided to the project. It is entitled to recover that amount.

5. *Everything Electric (Johnathon Chen)*

- [113] After reviewing the plans for the proposed project, Everything Electric's Johnathon Chen provided Proxima with an acceptable quote for electrical work on August 21, 2009. Shortly into the project, Chen found that progress draws were not being advanced on time. Chen came to realize that Dr. Lai was not paying Proxima on a timely basis because of funding problems. This prompted Chen to pull Everything Electric from the project for approximately two weeks.
- [114] Beginning in February 2010, Everything Electric fulfilled requests from H&J to both upgrade and revise the electrical work. Following discussions involving DiTomaso, Dr. Lai, and Chen, it was agreed that Everything Electric would offer services directly to, and be paid directly by, YMG for this extra work. In addition to the work set out in its original quote, Everything Electric performed 17 extras on the project.
- [115] As of July 23 2010—the last day it worked on the project—Everything Electric was owed \$288,897.06. On August 10, 2010, Everything Electric provided a final accounting to YMG. Soon after, Chen received Dr. Lai's deficiencies list. On October 18, 2010, Chen participated in a walk-through of the site. He noted some very minor electrical deficiencies which he was unwilling to rectify because of the non-payment of his account.
- [116] Negotiations with Dr. Lai and his lawyer led to an agreement executed on August 20, 2012, whereby Everything Electric reduced its account by \$30,000 in return for Dr. Lai's concession that Everything Electric's work had no deficiencies. In addition, Everything Electric received \$43,392.72 for its pro-rated share of the holdback. Further direct payments received from three of the subtenants reduced Everything Electric's claim to where it currently stands: \$154,763.72.

[117] I accept Chen's evidence in its entirety. Taken together with other evidence, I am satisfied that the electrical work was done in a good and workmanlike manner and that the value of labour and materials provided to the project was as invoiced. I also accept that the Defendants benefitted from a \$30,000 reduction on the account outstanding, in exchange for Dr Lai's agreement to claim no further deficiencies for electrical work. I find that the Defendants are bound by that agreement and are estopped from arguing for any further reduction of the Everything Electric account. In any event, having received a \$30,000 credit, the Defendants have already been credited with an appropriate amount, above and beyond the \$23,000 expended on alleged electrical deficiencies. I find that Everything Electric is entitled to judgment in the amount of **\$154,763.72**.

THE EXTRAS CLAIM

[118] The Alberta Supreme Court set out what constitutes valid extras to a construction contract in *Chittick v. Taylor*, [1954] A.J. No. 23:

When a contractor performs work or supplies materials not called for by the contract without instructions, express or implied, from the owner, or the consent of the owner, it is not entitled to charge for this additional work or materials as an "extra". However, when the contractor performs work or supplies materials not called for by the contract on the instructions, express or implied, of the owner, it is entitled to charge for additional work or materials as an "extra". What amounts to instructions from the owner depends on the circumstances relating to each item. If the owner, without giving definite instructions, knows that the contractor is doing extra work or supplying extra materials, and stands by and approves of what is being done and encourages the contractor to do it, that will amount to an implied instruction to the contractor, and the owner is liable [citation omitted] (*Catan* at para. 13).

[119] I adopt that passage as an accurate statement of the law of construction extras. Where an owner has knowledge that extra work is being done and fails to object, but is passive, he is deemed to be acquiescing and is thus liable to pay the contractor for that work.

[120] The law is clear that extra work entitling the contractor to additional payment must be work which is substantially different from, and wholly outside the scope of the work contemplated in the contract: see *Ron's Trenching & Hauling Ltd. v. Estevan (City)* (1985), 11 C.L.R. 148 (Sask. Q.B.) at paras. 8-9, citing with approval Goldsmith, *Canadian Building Contracts* (3rd ed., 1983), p. 83.

[121] Proxima's claim for extras totals **\$513,583.52**. I find that nearly all of the extras claimed should be allowed. I find that the claimed extras were substantially different from and wholly outside the scope of the work contemplated in the contract, which was derived from SPA Architect's very detailed architectural drawings.

[122] It is unfortunate that the extras are generally unsupported by signed change orders or written instructions from Dr. Lai or one of his representatives. I say unfortunate; not unreasonable. I find that a pattern of conduct quickly emerged which the parties came to rely upon. This mainly involved discussions between DiTomaso and Dr. Lai but also involved DiTomaso receiving instructions or authorizations from Dr. Lai's representatives

or his subtenants. Those representatives included the individuals at Dialogue 38 (Bennett Lo and Wendy Wang) and Hiten Patel. Although the court did not hear from these individuals at trial, Dr. Lai never denied that they were acting under his instructions.

- [123] The evidence makes clear that the original project contained in the architectural drawings and specifications was substantially altered, mostly as a result of decisions and directions from the Defendants or its representatives.
- [124] I find it highly unlikely that Proxima would proceed to engage the services and incur the charges of the subtrades on a mere whim, a misunderstanding, or a unilateral decision. This simply makes no sense. I am persuaded that Proxima consistently responded to the Defendants' or its representatives' requests to effect certain changes. I find that Proxima then sought out and obtained either the Defendants' or their representatives' approval once it had calculated either a specific or a ball-park figure to fulfill those requests. I accept that the contemplated change orders (CCOs) contain sufficient detail of the extras; as well, the CCOs are generally supported by contemporaneous documentation such as quotations, work orders, invoices, or emails.
- [125] I find that the Defendants' consent to the extra work was either explicitly or implicitly obtained through the directions and discussions which accompanied or followed the requested design or project changes. Also, the emails which populate the evidentiary record reveal instances where the Defendants would make requests or advise of changes. This would prompt Proxima to engage in discussions with either Dr. Lai or his representatives; this, in turn, would result in the appropriate tasks being undertaken by the appropriate subtrades. This is entirely consistent with DiTomaso's evidence, which I found frank, forthright and reliable. Indeed, as Proxima's on-site lead, it made sense that he would seek verbal clarification and directions. Finally, I have no doubt that Dr. Lai was consistently on-site; he remained informed and aware of the project's dynamic and fluid nature. I find that both parties understood the process and acceded to the project evolving and growing beyond its original scope, whereupon it took on aspects, components, and features different from the original drawings and designs upon which Proxima's tender bid was based and the contract price was agreed to.
- [126] Proxima's extras claim is set out on the Scott Schedule of Claim and Response (the "Scott Schedule"), made Exhibit 5 to the proceeding. The Scott Schedule is comprised of the list of claimed extras from Exhibit 3. By the time of trial, the Defendants were prepared to admit certain items as owing under the *quantum meruit* doctrine, as opposed to them constituting "extras" *per se*. Nevertheless, the Defendants conceded the following items as owing to Proxima: 1, 5-10, 16, 17, and 19-22. These items total **\$89,124.25**, and are conceded by the Defendants as a credit due to Proxima.
- [127] I accept DiTomaso's evidence that extras provided by the subtrades remained subject to the ten per cent mark up by Proxima in its capacity as project supervisor. This had been the case on the project from the outset and was never seriously disputed by the Defendants.
- [128] I am prepared to allow Proxima all of the claimed extras on the Scott Schedule, save and except for items 38 and 44. I find that Proxima facilitated and oversaw the supply and installation of the remaining claimed extras as part of its continuing role as project manager.

[129] Nearly every claimed extra is supported by detailed CCOs and/or contemporaneous subtrade invoices. Many of those invoices specify that the labour and materials are additional to the original contract. The evidence of the subtrades supports a finding that these goods and services were extra to the contract. I would allow Proxima the following extras for the corresponding amounts:

2. Revised reception kiosk: Dialogue 38 introduced a new design for this aspect of the project. I accept that the appropriate subtrades provided the project with the additional work and materials detailed in the CCOs. The original bid tender had called for six pocket doors, but these were never ordered and the appropriate credit was given. AC Doors installed swing doors as per the new design requirements. This was not only an extra but also resulted in higher installation costs. Allowed amount: **\$10,588.65.**

3A. Front entry automatic Hunter sliding doors: The original design called for swing doors. Dr. Lai elected to replace them with automatic sliding doors. This change request was accommodated after the swing doors had been installed and were being painted. The CCOs clearly reference the automatic sliding doors as over and above the obligations in the permit drawings. This is an extra which included not only the amount paid to Select Aluminum for the doors themselves, but also the accompanying costs for demolition of the existing doors, wall modifications, painting, electrical work, and the ten percent supervisor's mark-up. Allowed amount: **\$50,526.30.**

3B. Electric module for security system: this was clearly an extra to the contract and requested by the Defendant. Allowed amount: **\$2,200.**

4. Marble on kiosks: this was paid out to the subtrade for marble and associated materials not called for in the original contract drawings. Allowed amount: **\$23,151.66.**

11. Changes to east exterior stairs: I accept that the original drawings, which called for only one step at this location, left an unanticipated but unsafe height differential between the outside patio slab and the finished floor elevation. Remedial work—three more steps—was needed to address the problem. This was a material change to the assumption underlying Proxima's bid and thus qualifies as a legitimate extra. Allowed amount: **\$4,400.**

12. Additional drywall work on columns: Proxima's original bid was based on SPA Architect's drawings. The columns in those drawings were described as six-by-six [feet] when, in fact, they were eight-by-eight. The architect's error resulted in extra time and materials not contemplated in the original bid. This qualifies as an extra. Allowed amount: **\$3,135.**

13. Dental subtenant work: This additional work encompassed drywall, electrical, plumbing, and concrete/excavation provided to space for the subtenant York Dental/Dr. Budovich. I accept DiTomaso's evidence that Dr. Lai agreed to pay this amount. This is supported by a contemporaneous

record dated March 25, 2010, on which Dr. Lai's verbal authorization was noted. Allowed amount: **\$79,459.**

14. Additional millwork: I accept that this additional charge from JNR Millwork Ltd., was incurred because of a revision to original millwork directed by Dialogue 38 on behalf of Dr. Lai. Allowed amount: **\$627.40.**

18. Common work for walls at York Pharmacy: This was the payment shortfall for work done on common walls for the subtenant York Pharmacy. I accept that York Pharmacy's principal Michael Luk declined to pay for some of the work performed in this area. I also accept that Dr. Lai conveyed to Proxima his willingness to pay the shortfall. Allowed amount: **\$18,870.**

23. Overhead (mark-up) charge for additional electrical work: Although Dr. Lai paid Everything Electric directly for extra electrical work, I find that Proxima was still entitled to a ten percent supervisory mark-up. This entitlement is consistent with Proxima's ongoing supervisory role; it was explained and confirmed in an email from Proxima to Dr. Lai on May 31, 2010. Allowed amount: **\$5,434.59.**

24. Upgrade to diffusers: I find that the Defendants requested this upgrade to replace the square diffusers called for in the original drawings. Because these diffusers were more sophisticated, the heating contractor charged more to install them. Allowed amount: **\$6,050.**

25. Additional drywall at York Mobility: As outlined in the diagram at page 130 of Exhibit 3, Proxima directed Net Drywall to add additional walls for the lunchroom and kitchen not contemplated by the bid. I accept that this "over and above contractual obligations" work was requested by Dr. Lai. Allowed amount: **\$9,499.60.**

26. Structural reinforcement of kiosks: The weight of the added marble countertops required reinforcement of the reception kiosks which had not originally been designed to bear that kind of weight. This was requested by Hiten Patel. Allowed amount: **\$7,150.**

27. Reinforcement of the reception walls: This was necessary so that the walls could tolerate the weight of some televisions to be installed. Allowed amount: **\$1,925.**

28. Additional roof penetrations: These charges by Flynn roofing related to running wiring through the roof to allow signage hook ups. I accept that this installation of various mechanical curbs and penetrations referenced on Flynn's invoice was extra to the contract and authorized by DiTomaso at Dr. Lai's request. A proper credit was subtracted from Flynn's invoice for the share of this work pro-rated to subtenant CML. Allowed amount: **\$6,737.41.**

29. New ceiling at entrance: A lower ceiling was installed at the direction of Dr. Lai's design team. This involved working around an installed sprinkler line. The details of this work are set out on the Net Drywall's invoice dated April 6, 2010. Allowed amount: **\$7,500.90.**

30. Flooring cost differential: A \$155,000 cash allowance for flooring and carpet was priced into Proxima's original bid. As a result of complying with Dialogue 38's and Dr. Lai's directions for the entire space, Selyan's flooring charges amounted to \$227,997.88, leaving a net extra claim of \$72,997.98 plus the ten percent mark-up for Proxima's overhead and profit. I find this represents an extra above the contemplated flooring costs. Amount allowed **\$80,297.67**.

31. Skylight modifications: I accept that the architect's original design, on which Proxima based its bid, was modified at the Defendants' request. The new skylight required re-centering, additional drywall, and structural reinforcement. I find this is a legitimate extra. Amount allowed **\$15,758.60**.

32. Drywall work for new design: I accept that Net Drywall was brought in to perform various "drywall related upcharges" as detailed in its quotation dated April 6, 2010. The proposed work was clearly labelled an "extra" on the quotation and as "over and above" contractual obligations on the invoice. Amount allowed: **\$23,423**.

33. Additional plumbing: These charges from Belair Plumbing include additional components (sinks), an above ground floor drain, and the accompanying labour. This work was made necessary by the Defendant's design changes. Again, the series of invoices which make up this charge indicate that the labour and materials are "extra" to the base contract. Amount allowed: **\$10,315.38**.

34. Additional wall construction at reception: This extra is described in a CCO as "additional wall construction re: work as built layout as per Bennett Lo design". It is described as "over and above obligations as set out in permit drawings." I accept that this work was required in order to comply with Bennett Lo's design changes; these changes post-dated the Proxima bid. Accordingly, it was additional work not contemplated in the contract. I accept it as an extra. Amount allowed: **\$7,112.60**.

35. Additional floor drain: This item is set out in a CCO and described in the invoice paid by Proxima. That invoice describes the labour and material as "over and above obligations as set out in permit drawings". The installation of this underground drain required the cutting and removal of concrete. Dr. Lai's email referenced the "new layout" for the kitchen and "the addition of a floor drain to the kitchen." I accept this as an extra. Amount allowed: **\$4,413**.

36. IT room drywall: The CCO described this work as "additional drywall, wall at IT room in newly created 2nd floor room". Also, the Gabris Associates' engineering proposal is dated September 29, 2009, after the date of Proxima's bids, when work on the project was well-advanced. There is an email from Patel to Proxima on November 11, 2009, asking Proxima to "price out" the proposed mezzanine in the "YM server room". This supports a conclusion that the work envisaged was extra to the contract. I accept that this was a change

requiring extra labour and materials for the completion of new second floor space in that room. Amount allowed: **\$10,275.76.**

37. Additional engineering costs: Dr. Lai terminated the original structural engineer Wai Cheng in April 2010. Following DiTomaso's recommendation, Dr. Lai retained Marek Gabris of Gabris Associates in May 2010. Proxima never paid Cheng directly; engineering costs were not contained within the bid. The structural steel inspector and the soil test services were both third party engineering inspections. The CCO described the engineering fees as "additional engineering charges". I find that Dr. Lai agreed to pay all engineering charges and in any event, as owner of the project, he would be responsible for them. I accept that all third party engineering costs incurred by Proxima are additional to the original bid and must be considered extras. Amount allowed: **\$5,748.49.**

39. Relocation of copper waterline in IT room: The expansion of the vertical space in the IT room made this relocation necessary. This was additional labour made necessary by an approved extra. Amount allowed: **\$1,705.**

40. Slop Sink: I accept DiTomaso's evidence that Dr. Lai requested these sinks and stalls and understood them to be extras. They did not form part of the bids; they appear nowhere on the original plans. I find this qualifies as an extra. Amount allowed: **\$3,762.**

41. Curtain and track in urgent care/fracture clinic: I accept that curtains, rods, and tracks in the project's urgent care/fracture clinic area were not part of the original plans. Reinforcement of the T-bar ceiling was made necessary by these changes. I find that Dr. Lai approved these extras, as described in detail in the applicable CCO. Amount allowed: **\$4,987.50**

42. Additional fan in Dr. Poon's procedure room: On December 15, 2009, Dr. Lai requested that certain rooms be outfitted with negative pressure capability. He acknowledged that Proxima would need to install five fans for that purpose. This request constituted a revision which Proxima responded to by ordering fans from Reliance Yanch HVAC ("Yanch") and by bringing in the electric and roofing subtrades as set out in the CCO. This extra is allowed. Amount allowed: **\$4,125.**

43. Revised painting at Southlake Regional Health Centre: An email from Proxima to Dr. Lai dated March 12, 2010 provided specifics of the "repaint" in the Southlake area. I find that Dr. Lai approved the repainting and confirmed to DiTomaso that the Defendants would be responsible for it as an extra. Amount allowed **\$10,230.**

[130] At trial, Proxima abandoned its claim for extra item 15.

[131] I would not allow the claimed extra item 38 for the additional window. There is no accompanying invoice and insufficient alternative documentation to support this claim.

[132] I would not allow claimed extra item 44 for additional roof penetrations. The nature of the work performed and the benefit to the Defendants was not sufficiently explained. Proxima's claim relies partly on information received by DiTomaso from the landlord.

That was hearsay evidence which I am not prepared to afford any weight. The invoice from Ben Air Systems refers to the “landlord’s rooftops”. I fail to see why this charge was not simply passed on to the landlord. The invoice also references a “back charge” to Yanch for a faulty thermostat. If the thermostat was faulty, it should have been replaced or fixed at no charge to the Defendants.

[133] With the exception of item numbers 15, 38, and 44, the claimed extras on the Scott Schedule are allowed. I am not prepared to grant a further credit to the Defendants for the base contract doors and hardware. It is apparent that, apart from a restocking charge, the Defendants were never charged for the pocket doors. A credit was given for “previous glazing”. I heard no evidence that the base contract swing doors or hardware had any residual value after the demolition and remedial work was complete.

[134] I conclude that these valid extras constituted improvements to the premises which should be assigned a value of **\$508,333.76**. This amount should be added to the value of the goods and services provided under the base contract for the purpose of calculating the statutory holdback.

THE DEFICIENCIES CLAIM

[135] As a general principle, the party seeking a credit for construction deficiencies has the onus of proving that it is entitled to a credit as against the contract price: see *Crownwood Construction Ltd. v. Omartech Construction Inc.*, [2006] O.J. No. 873 (Ont. S.C.).

[136] Proxima conceded that the Defendants should be allowed \$61,870 as credit for either deficient work, incomplete work, or both (see Exhibit 1, Tab 14). I am not prepared to deduct any further amounts for alleged deficiencies. My reasons are partially set out above in my discussion of the evidence pertaining to the value of the contract, the claim for extras and the claims of the subtrades. I propose to summarize and provide supplementary reasons and findings as they pertain to the particular deficiencies claimed.

(a) Electrical

[137] I am not prepared to allow any further credit for deficiencies in electrical work for the following reasons.

[138] First, I find that Dr. Lai misled the court by claiming that amounts paid directly to Everything Electric constituted corrective work for deficiencies. Having neglected to unveil the invoices related to the alleged corrective work in direct examination, Dr. Lai was confronted with those invoices from Everything Electric in cross-examination. He was unable to satisfy the court that the charges on the invoices related to the correction of deficiencies. Instead, the invoices clearly indicate that the labour and materials invoiced were not corrective in nature. As well, and as stated above, I accept Chen’s evidence: the owner of Everything Electric was able to explain how the materials and labour in question were in respect of extras, not deficiencies.

[139] Second, I find that—having agreed in writing to a \$30,000 credit on the amount owing to Everything Electric—Dr. Lai cannot now claim the \$23,000 that he paid to Tri-Unite Systems Ltd. as a deficiency credit. Indeed, I find that Dr. Lai—in signing minutes of settlement with Everything Electric—already settled the entirety of alleged electrical

deficiencies and, in fact, has enjoyed a \$7,000 windfall. The Defendants have demonstrated no compensable loss for electrical work deficiencies.

(b) Drywall

[140] The Defendants seek a \$107,000 credit for incomplete areas of drywall. I find this to be a wildly inflated and unsupported claim.

[141] First, it remains unclear and unproven what the contract specifications required as to the drywall height. It appears that varying heights were called for in different sections of the York Medical area. The plans specify wall heights of “up to” certain feet and inches (for example, Plan A03D calls for partition wall heights of up to seven feet (7’), up to eight feet and six inches (8’6”), and up to nine feet (9’)). It would have greatly assisted the court to have the project architect’s evidence as to what all of this meant.

[142] Second, without an experienced and specialized drywall contractor’s estimate, I am unable to arrive at any cost to correct the alleged deficiencies beyond the amount of the credit suggested by Proxema. I am certainly not prepared to allow a \$107,000 credit or anything even remotely close to it. Shedden merely co-opted an unsubstantiated and wholly unreliable estimate from the biased and discredited Moran. For his part, Moran failed, in any meaningful way: to reference any plans or drawings; to record or provide measurements; to offer up any field notes, sketches or diagrams; or to break down how he arrived at such an extravagant figure.

[143] The best and only reliable evidence of the cost to increase the partition wall heights comes from Bokor who obtained it from a Mr. Ryan—whose opinion constitutes hearsay. The credit conceded by Proxema to allow rectification of the drywall height amounts to \$15,870. In the absence of compelling and reliable proof to the contrary, I accept that as the proper amount to credit the Defendants to remedy this alleged deficiency.

(c) Plumbing (Hi-Tech)

[144] I am not prepared to give any credit for the work performed by Hi-Tech which was performed in advance of Proxema coming on-site.

[145] The Hi-Tech invoice was dated September 16, 2009. At no time did Proxema and the Defendants agree that this should represent a credit.

[146] I accept DiTomaso’s evidence. He established that Hi-Tech’s slab excavation work done had no value to the project or the work Proxema performed. I agree with Proxema that it would be commercially absurd to include a credit for a cost unknown at the time of tender (Hi-Tech’s invoice post-dates the bid). I find that the claimed credit for Hi-Tech work is merely Dr. Lai’s *post-facto* attempt to artificially reduce the amount owing to Proxema.

(d) Millwork (Pro Plus Contracting)

[147] I am not persuaded that the Defendants should be allowed credit for any amount they paid out to Pro Plus Contracting (“Pro Plus”) for millwork in the Medical Crafters area. The Defendants were unable to provide a copy of the tender breakdown from Pro Plus. The invoice from Pro Plus dated May 4, 2010 refers to a “quote submitted”. This quote must surely have addressed whether millwork was included in the price quotation and broken out the cost for it; yet, the quote was never produced.

[148] Moreover, the amount spent on millwork in this area was significant. I find it highly unlikely that Dr Lai would not have insisted in writing, at the time the millwork issue was raised, that Proxima should either complete the millwork as per the bid tender and the contractual arrangements or advise Proxima that YMG would be seeking a credit for the cost of a third party having to take on an aspect of the contract which Proxima had neglected to complete. Instead, Dr. Lai's email of March 1, 2010, advises Proxima that he will be "... using another vendor for the mill work in the Medical Crafters retail area as you have still not yet provided us with either a quote (*sic*) or a time for this work. At this point, please tell your millwork vendor we no longer require a quote on this work." I find that, had Dr Lai believed that the Proxima bid and contract included millwork in the Medical Crafters area, he would not have sought a separate quote for such work from Proxima at such a late stage in the project.

[149] Finally, I accept DiTomaso's evidence. He referenced the original SPA Architect plans and—by contrasting those plans with the second and third drawings done by Bennett Lo of Dialogue 38—demonstrated to the court's satisfaction that Proxima's bid did not include the millwork finishing in the Medical Crafters area.

(e) Commercial Kitchen

[150] I am not prepared to allow any credit for this claimed deficiency (essentially work not undertaken) for the following reasons.

[151] One, I accept DiTomaso's evidence on this point: he confirmed with Dr. Lai that Proxima was not going to embark on this work. Also, no specifications were ever provided to Proxima for the commercial kitchen.

[152] Two, even if I were to consider some kind of a deficiency credit, I have no basis upon which I can accurately quantify it. The figure supplied by Moran in the Bel-Tano tender quotation was outlandish, unreliable and entirely unsupported. It clashed so dramatically with Shedden's \$20,000 estimate that it cannot be accepted. Even Shedden's estimate is a rounded, bald, and unsubstantiated offering upon which I can place no weight.

(f) The Sprinkler System (Viking Fire)

[153] The Defendants claim a \$35,000 credit for Viking Fire's work on the allegedly deficient sprinkler system. I am not prepared to allow any credit to the Defendants for this expense beyond that already conceded.

[154] One, the supporting documentation provided (Exhibit 28, Tab 13) is insufficient to undergird this claim. The invoices presented speak of "sprinkler modifications" without any further detail. Without the author of the document or, for that matter, any representative of Viking being called upon to explain the nature of the work done, the document itself cannot ground any claim for a deficiency. The Defendants provided no drawing, plan, or specifications regarding the work performed.

[155] Two, in a report dated April 22, 2010, LKM's professional engineer certified that the sprinkler systems generally conformed to the plans, sketches, drawings, and the requirements of the OBC.

- [156] Three, Karl Nitsch's unchallenged and un-contradicted reports dated January 21 and April 8, 2010, confirm that the sprinkler system was essentially complete and in conformity with the *OBC*.
- [157] Four, the alleged deficiencies in the sprinkler system were not brought to the attention of Sam De Cristoforo when Belair Plumbing attended at the on-site walk-throughs in May and October 2010. In any event, I accept the evidence of Mr. De Cristoforo that the sprinkler system was in proper working order when he was on site.
- [158] Five, the Defendants failed to allow Proxema or Belair Plumbing an opportunity to rectify the alleged sprinkler deficiencies even though De Cristoforo, in particular, showed himself willing to attend to identified deficiencies. The law is clear that a contractor should be afforded an opportunity to remedy a deficiency before the owner calls in a third party to effect repairs and thereby claim a charge back: see *Vallie Construction Inc. v. Minaker*, 2011 ONSC 6565, [2012] O.J. No. 2906 at para. 237.
- [159] Finally, the evidence is clear that York Medical operated out of the premises as early as April 2010. I cannot accept that York Medical would have been prepared or even allowed to operate in the building for a full year without a working sprinkler system.

Conclusion on the Deficiencies Claim

- [160] I am not prepared to afford the Defendants any credits for any claimed deficiencies beyond the \$61,870 conceded by Proxema. In my view, that amount more than compensates the Defendants for the minor deficiencies and/or uncompleted work on the project.

THE DELAY CLAIM

- [161] I accept that Dr. Lai was often late in paying progress draws. The evidence makes clear (and common sense dictates) that subtrades become reluctant to continue work on a project when they are not paid in a timely manner. It is understandable that a project manager not receiving timely draws may face difficulties getting subtrades to remain on, or return to, a project.
- [162] It is also abundantly clear that changes to plans, design changes and indecision about such things as countertops played a part in hampering the progress of the project.
- [163] I accept DiTomaso's evidence that a project of this nature requires a certain amount of momentum. A disruption of that momentum (changes to original plans; an owner's failure to make timely decisions) can throw off schedules and timing. That is what happened here.
- [164] The delay claim was tarnished by the approach taken to it by the Defendants' at trial. I found it highly concerning that, in their pleading, the Defendants advanced a counterclaim for damages for delay amounting to \$100,000. They then waited until the middle of trial to seek leave to amend their pleading (with an accompanying adjournment to allow for discovery) to increase that amount to \$440,880.22. And even that amount changed, it being recalculated on the stand by Dr. Lai to \$385,430. This approach to quantification leaves much to be desired. I find that the Defendants' failure to seek an amendment to the quantum of its delay claim in advance of trial together with the kind of "while you wait"

and “on the spot” approach to quantification taken by Dr. Lai, served to profoundly undermine the credibility of the counterclaim from the start.

- [165] I am not prepared to allow the Defendants any amount for the delay claim. For the Defendants to succeed in this regard, they must prove that Proxima failed to substantially complete the contract by a specified completion date or, at the very least, by some other date agreed to by the parties. They cannot do so. I am unable to find that Dr. Lai’s “Clarification of Contract Issues” or his “Incentive for Substantial Completion”, attached to his email dated September 14, 2009, amounted to any agreement on a completion date or a construction schedule. If it constituted an offer, it was an unexecuted one and remained, in any event, unaccepted. Also, the first of these documents contained a suggestion that the project’s cost might be “in the range of 1.6 million dollars or less”. This figure was well below the agreed upon contract price and simply lends credence to the conclusion that the completion date and construction schedule remained to be determined. These documents cannot be viewed as establishing any agreed on completion date or construction schedule.
- [166] I find that the 22 weeks set out in Proxima’s original “entire project” bid was merely a reasonable estimate of time that the project as originally conceived would require. I am unable to accept that this was a binding time frame or one that either party relied upon to its detriment.
- [167] To begin, that 22-week time frame is set out in a document which was not signed by both parties. By failing to execute an agreement containing something so basic as a construction schedule and a completion date, the parties must be deemed to have assumed the risk that binding time frames would not be a feature of the project and that any completion and occupancy dates would remain moving targets.
- [168] Two, the evolving nature of the project, featuring design changes, alterations and extras, should have made it obvious to the Defendants that any pre-conceived schedule or deadline was unrealistic; and while completion of the project by a certain date might have been hoped for, it could never realistically be expected.
- [169] Three, during the 22-week period contemplated by the tender bid (which would have expired on or about January 29, 2010), the concerns raised by Dr. Lai about timing and completion were more in the nature of inquiries and expressions of his wishes and hopes. Not once during this time frame did anyone reference a firm completion date or an existing construction schedule. Indeed, the entire tone of Dr. Lai’s emails suggested that he recognized that there was no completion date in place. Why, for example, would he inquire of Proxima on December 15, 2009, whether it was, “...able at this time to provide me with a completion date or a construction schedule?” if one was in existence already. The evidence makes it clear that Dr. Lai remained engaged in and intimately familiar with the progress of the project and would have realized that completion would not happen by week 22.
- [170] Four, Dr. Lai’s expression of concern about completed space in his email to Proxima of February 18, 2010, while more urgent, post-dated the notional 22 week period which Dr. Lai now insists upon; yet, no reference was made to a promised completion date and there was no suggestion that the project had, at that juncture, run beyond that completion date.

[171] Finally, the evidence makes it abundantly clear that most—if not all—of the delays were brought about by the Defendants’ own conduct or by issues beyond Proxima’s control. Design changes, extra work outside the scope of the original contract, Dr. Lai’s indecision, tenant dissatisfaction, progress draw payment delays, and third party prevarication all contributed to the project running well beyond either party’s anticipated timeframe. Some examples include:

- a. Proxima took instructions from Dialogue 38 for a completely redesigned front entrance which necessitated ripping out work that had been largely completed;
- b. Indecision about colour choices for millwork (September 2009);
- c. Dr. Lai was advised that his failure to pay progress draws was delaying the project (October 2009);
- d. Dialogue 38’s Wendy Wang forwarded a revised clinic layout (October 2009);
- e. Proxima needed to follow up on design choices to move forward with millwork, which in turn prevented subtrades from proceeding with their work;
- f. Wendy Wang was awaiting Dr. Lai’s approval of a final design concept which would entail the demolition of items already in place (November 24, 2009);
- g. Dr. Lai directed the “redo” of the reception area; it was explained to him that this would require additional time and involve the demolition of completed work (January 8, 2010);
- h. Proxima had to await receipt of flooring selections and details of required modifications to reception area kiosks from Dr. Lai and his designers (March 2010);
- i. The subtenant OCS conveyed its preference for different colour choices and finishing. It was implicit in this discussion that these changes would result in further delay (March 12, 2010);
- j. Proxima was waiting for Dr. Lai’s wife to select a sample for the countertop in the “Mobility” area (March 23, 2010).

[172] When Dr. Lai finally voiced his concerns about delay in February 2010, it is fair to say that any objective hope or expectation for completion within any specified time frame would have vanished long before then, if it was ever realistic in the first place. It would be wholly unfair to lay any delay at the feet of Proxima or the subtrades and I am not prepared to do so.

[173] I find that when Dr. Lai finally began to pressure Proxima to complete the project in April 2010, his approach was designed to both placate the subtenants and to provide them with a reason why YMG could not deliver their respective spaces by a particular date. In copying his accusatory emails to the subtenants, it is evident that Dr. Lai sought to set Proxima up as the scapegoat, when it was really his own design changes, indecision, failure to give instructions and to pay progress draws on time which caused the project to be delayed.

[174] Even if I were to find Proxima partly responsible for the project’s delays and thereby in breach of the contract, I would not be prepared to award any damages on the counterclaim for loss of rent.

- [175] One, Proxima had its own contracts with some of the subtenants. Until it completed its work under those contracts and obtained the necessary occupancy permits, those subtenants could not move in and start paying rent to the head tenant YMG. Dr. Lai was well aware of this. I heard no evidence that any of these subtenants brought actions or sought damages from Proxima for business-loss damages arising out of its failure to provide subtenant space by a particular date.
- [176] Two, I heard no evidence that Proxima was provided any details of the subleases. Without such detail, Proxima could hardly be expected to be aware of, much less be held to, any time schedules or dates that YMG had promised its subtenants.
- [177] Three, most of the leases with the subtenants called for occupancy once the project was completed or once the premises were ready. This is simply too uncertain a proposed occupancy date to ground any delay claim.
- [178] Four, I am mystified that the court heard little to no evidence about the dates when partial or full occupancy permits were issued for the subtenant spaces. That evidence would be crucial to gain an understanding as to when the subtenants were legally authorized to occupy their respective spaces.
- [179] Five, I heard nothing from the non-arms' length subtenants. Apart from a few emails expressing concern about delay and seeking a move-in date, the court heard no objective evidence that the subtenants believed there to be a specific and pre-identified date when they would move in and begin paying rent to YMG. Indeed, the court heard evidence that York Pharmacy's project was delayed due to matters involving Yoram Moran. Despite Moran's fractured and incoherent entreaties, I am unpersuaded that any delays in having York Pharmacy occupy its subtenant space had anything to do with Proxima.
- [180] Finally, and as discussed above, the sublease between the head tenant YMG and York Medical was executed well after Proxima left the project in June 2010. I do not accept Dr. Lai's explanation that this was done to formalize an existing arrangement. I was furnished with no rent cheques made payable to YMG for any period, let alone a period preceding the actual date when that sublease was "formalized". As well, and as discussed above, the monthly rent set out in the sublease is far less than the rent recorded on Dr. Lai's summary of his rental loss claim. I find that this portion of the loss of rent claim was actually fabricated by Dr. Lai, in an effort to build up the quantum of his counterclaim.

THE DEFENDANTS' LIABILITY

- [181] Proxima argues that all of the Defendants, including Dr. Lai, should be found to be contracting parties and therefore be held jointly and severally liable for any amounts found to be owing to Proxima and the subtrades.
- [182] Proxima relies on section 2(6) of Ontario's *Business Names Act*, R.S.O. 1990, c. B.17 (BNA) and section 10(5) of Ontario's *Business Corporations Act*, R.S.O. 1990, c. B.16 (OBCA). Those sections read as follows:

BNA: Name to be set out

2(6) A corporation and such other persons as are prescribed carrying on business under a registered name or, in the case of a corporation, identifying

itself to the public under a registered name, shall set out both the registered name and the person's name in all contracts, invoices, negotiable instruments and orders involving goods or services issued or made by the person.

OBCA: Legibility

10(5) Despite subsection (4), a corporation shall set out its name in legible characters in all contracts, invoices, negotiable instruments and orders for goods or services issued or made by or on behalf of the corporation and in all documents sent to the Director under this Act.

[183] Proxima argues that an individual can be held personally liable under a contract where it is unclear at the time the parties enter that contract whether one of them is acting on behalf of a corporation or on his own behalf. Failure to comply with the OBCA and/or the BNA is a factor to consider in the analysis. After-the-fact events, like payment by cheques drawn on the corporation's account, may be insufficient to displace a plaintiff's understanding, objectively viewed, that it was contracting with the individual and not with one or more of his corporations.

[184] To support its position, Proxima cites *Total Crane Erectors Ltd. v. Fontana*, 2007 ONCA 121, [2007] O.J. No. 690, wherein our Court of Appeal stated that an individual will be personally liable if she is contracting for another and does not make it clear to the person with whom she is contracting that she is contracting in the capacity of an agent.

[185] The Defendants rely on *Normart Management Ltd. v. West Hill Redevelopment Co.*, [1998] O.J. No. 391 (Ont. C.A.) where the Court of Appeal set out the law concerning the civil liability of directing corporate minds for the actions of the corporations they control and direct (para. 18):

It is well established that the directing minds of corporations cannot be held civilly liable for the actions of the corporations they control and direct unless there is some conduct on the part of those directing minds that is either tortious in itself or exhibits a separate identity or interest from that of the corporations such as to make the acts or conduct complained of those of the directing minds: see *Scotia McLeod Inc. v Peoples Jewellers Ltd.* (1995), 26 O.R. (3d) 481 at 491 (C.A.).

[186] I have determined that the Defendants are not jointly and severally liable to pay the amounts owing to the various subtrades as set out below. The contracting party was quite clearly the defendant YMG. I have arrived at that conclusion for the following reasons:

- a. Dr. Lai's email to Proxima dated August 31, 2009, made it abundantly clear who Proxima was dealing with on the project. As its subject, that email referenced "York Medical Corporation and construction project". It went on to state, "Please note for this project, the Corporation you will be dealing with is: 2182537 Ontario Ltd. o/a York Medical Group";
- b. That same email was sent at the outset of the project, before Proxima invested any of its services in it. This was not an attempt to change the contracting parties or shelter the other entities from exposure in mid-project;

- c. Proxema's three bid tender proposals from August 24, 2009 identified the "owner" as "York Medical", "972579 Ontario Ltd." and "York Medical Mobility Ltd." respectively. Although none of these three proposals ultimately formed the basis for a stipulated price contract and although it was inaccurate to name the subtenant 972579 (York Medical) as a potential contracting party, the fact that Proxema inserted either these corporate entities or the trade name for the head tenant in its bid tenders, demonstrates that it was alive to the fact that it was contracting with a limited company rather than with Dr. Lai personally;
- d. The party named as tenant in the September 26, 2008 lease with the owner of the premises was "2182537 Ontario Ltd." We know this to be YMG. It follows that YMG was the legal entity entitled to enter into contracts with third parties in respect of tenant matters at the premises. There was no lease between Dr. Lai personally as tenant and Birock as landlord. Dr Lai is not one of the subtenants under the numerous subleases entered into by YMG. Absent that, I am not persuaded that Dr Lai could be considered an owner of the premises for the purposes of the *CLA*.
- e. I am not persuaded that any of Dr. Lai's actions during the course of the project would have led Proxema to reasonably believe that the contract had transitioned to an agreement to provide material and services to Dr. Lai personally as opposed to the corporate head tenant, YMG.
- f. There is no objective, contemporaneous evidence that Proxema believed it was providing services to Dr. Lai personally. Although I found DiTomaso's evidence generally reliable and compelling, I cannot accept that he held a reasonable, objective belief that Proxema was dealing with Dr. Lai personally as a contracting party during the course of the project. Given DiTomaso's experience in the construction industry as of 2009, I find that he would not have allowed the issue to remain unclarified, especially in the absence of an unsigned construction contract. Indeed, Proxema sent all ten of its invoices for progress draws to YMG. While the invoices were sent to the attention of "Dr. Ken Lai", it was not until June 1, 2010, that a demand for payment was made to Dr. Lai personally. By that time, previously invoiced amounts were outstanding. It was only logical that Proxema would appeal directly to Dr. Lai for payment; it would have understood him to be YMG's principal and directing mind. That payment demand, cannot, however, serve to either supplant the corporate entity as the contracting party or impose personal legal liability on Dr. Lai that did not exist beforehand.
- g. Proxema argues that Dr. Lai gave instructions in his personal capacity (both in writing and verbally) and chose to pay from a variety of accounts, never clarifying to Proxema that it had a contract with YMG only. This argument is unpersuasive. A corporation can only act and negotiate through an actual person, be it an officer or director. A corporate body is inanimate without such human initiative. Nor does the fact that payments came from different bank accounts persuade me that the Dr. Lai should be found to be a contracting party. Many of the cheques came from "York Medical"—the business name under which the numbered company operated. Dr. Lai undoubtedly signed these cheques, but that cannot create personal exposure; it is

commonplace for a corporation's principal and directing mind to sign corporate cheques. I see no attempt to deceive or mislead on Dr. Lai's part.

- h. Non-compliance with either the *BNA* or the *OBCA* does not, by itself, create legal liability on the principal of the corporation in a civil action. It is only one factor to consider. In any event, the *OBCA*'s s. 10(5) does not require that the corporation must set out the full numbered company name as opposed to simply the name that it operates under. Here, the documents consistently set out the name "York Medical" which is the trade name under which the corporation operated and generally corresponded. I find that, having been advised from the outset that it would be dealing with a numbered company operating as YMG, Proxima could not have been under any misunderstanding that it was dealing with an entity other than the corporation operating under the trade name "York Medical".

[187] I conclude that the only party to the contract under which Proxima provided services and materials to the project was 2182537 Ontario Ltd operating as York Medical Group. That is the sole entity against which the Plaintiffs can obtain judgment for amounts owing to it either on the project or on the holdback.

THE PRICE OF THE SERVICES AND MATERIALS

[188] The price or value of services and materials on the project for holdback calculation can be arrived at by taking the agreed upon contract price, GST inclusive (\$2,652,464.85); adding to this the amount allowed for extras, GST inclusive (\$508,333.76); and subtracting from that the amount Proxima conceded as credits (\$61,870, increased by five percent for notional GST to \$64,963.50). I conclude that the value or price of the services and materials which Proxima provided the project was therefore **\$3,095,835.11**.

HOLDBACK

[189] Section 22(1) of the *CLA* makes it clear that the payer/owner shall retain a "basic" holdback equal to ten percent of the price of the services or materials as they are actually supplied under the contract until the time that claims for liens against that holdback have expired. That being the case here, I find that the statutory holdback that YMG was obliged to retain was **\$309,583.51**.

[190] It is agreed that the Defendants made a \$175,000 payment towards that statutory holdback obligation which has been distributed—pro-rated—amongst the subtrades. The holdback deficiency remains at **\$134,583.51**.

[191] Section 23(1) of the *CLA* makes the owner personally liable for the holdback. Here, YMG retained an insufficient amount to satisfy that obligation. YMG was an owner and a payer on the project; it is therefore liable to pay that shortfall directly to the subtrades to satisfy its statutory obligation. The subtrades are entitled to judgment in accordance with their pro-rated interest in that holdback deficiency, calculated by the ratio that the amount of their respective judgments and claims for lien bear to the holdback shortfall of \$134,583.51.

[192] I was asked by Selyan to consider an additional amount for notice holdback. I find that no such claim for notice holdback can be made. I was furnished with no evidence that YMG

made payments out to third parties or subtrades on this project after it had received notice of a lien claim.

DISPOSITION

(g) Judgments on the holdback deficiency

[193] In accordance with these reasons, and pursuant to s. 23(1) of the CLA, the following judgments shall issue against the defendant YMG:

- a. In favour of Selyan's Flooring - \$33,906.31 together with a lien for that amount against the interest of YMG in the premises;
- b. In favour of Select Aluminum - \$16,736.61 together with a lien for that amount against the interest of YMG in the premises;
- c. In favour of Belair Plumbing - \$16,548.60 together with a claim for lien for that amount against the interest of YMG in the premises;
- d. In favour of Net Drywall - \$32,882.13 together with a lien for that amount against the interest of YMG in the premises;
- e. In favour of Everything Electric - \$34,509.86 together with a lien for that amount against the interest of YMG in the premises.

(h) Judgment in favour of Proxema

[194] I have found that the value of the services and materials which Proxema provided to the project totalled \$3,095,853.11, inclusive of extras, GST, and net of the credits allowed. From that must be deducted the amount YMG paid on the Contract (which I accept from Proxema's evidence as set out at Tab 12 of Exhibit 1 to be \$2,032,500) as well as the \$175,000 payment towards statutory holdback. The net amount remaining is \$888,335.11.

[195] For the foregoing reasons, Proxema is entitled to judgment against the defendant YMG only in the amount of \$888,335.11. Proxema is also entitled to a lien for that amount against YMG's interest in the premises.

(i) The Defendants' counterclaims

[196] For the reasons above, the counterclaim for set-off, deficiencies and damages for loss of rent advanced by the Defendants is dismissed, save and except for the credits which Proxema conceded for deficiencies and uncompleted work. These credits are accounted for in the net judgment in favour of Proxema.

(j) The Subtrades' judgments against Proxema:

[197] As stated above, the subtrades are each entitled to judgments against Proxema for the amounts left owing to them for labour and materials supplied by them under their respective subcontracts. For the reasons set above, the claims of the subtrades have been proven and allowed.

[198] There shall be judgments to issue against Proxema as follows::

- a. In favour of Selyan's Flooring - the amount of \$152,057.07;

- b. In favour of Select Aluminum - the amount of \$75,057.40;
- c. In favour of Belair Plumbing - the amount of \$74,214.25;
- d. In favour of Net Drywall - the amount of \$147,464.00;
- e. In favour of Everything Electric - the amount of \$154,763.72.

COSTS, INTEREST AND ANCILLARY MATTERS

[199] If the parties are unable to agree upon the issues of costs, interest or upon the form and content of any judgment or on any ancillary or related matters, either party may take out an appointment on notice and through the trial coordinator at Newmarket to appear before me to speak to those matters.

MCCARTHY J.

Released: April 27, 2018